ANNUAL OPERATING BUDGET

Sterling Whitaker Marketplace | Cincinnati, OH

Property	Sterling Whitaker Marketplace
Fiscal Year	2026
Submitted By	Cobblestone Property Co.
Submitted	February 1, 2024

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$656,635	$614,087	$616,262	-$40,374	-6.1%	$16,217.42
5010 Loss to Lease	$228,425	$236,783	$246,707	$18,282	8.0%	$6,492.30
5020 Vacancy Loss	$321,380	$312,905	$321,658	$278	0.1%	$8,464.68
5030 Concessions	$505,447	$469,046	$500,815	-$4,631	-0.9%	$13,179.34
5040 Bad Debt	$518,085	$557,521	$593,621	$75,535	14.6%	$15,621.60
5050 Late Fees	$305,711	$307,341	$316,028	$10,317	3.4%	$8,316.54
5060 Utility Reimbursements	$222,702	$233,919	$247,673	$24,971	11.2%	$6,517.72
5070 Parking Income	$80,329	$74,058	$74,092	-$6,237	-7.8%	$1,949.79
5080 Application Fees	$652,651	$692,020	$710,168	$57,517	8.8%	$18,688.62
5090 Pet Rent	$658,799	$624,954	$638,215	-$20,584	-3.1%	$16,795.14
5100 Laundry Income	$387,389	$363,030	$384,825	-$2,564	-0.7%	$10,126.98
5110 Cable/Internet Revenue	$283,530	$267,250	$275,939	-$7,591	-2.7%	$7,261.54
5120 CAM Reimbursements	$317,073	$300,313	$317,790	$717	0.2%	$8,362.90
5130 Tax Reimbursements	$602,645	$632,259	$656,934	$54,290	9.0%	$17,287.75
5140 Insurance Reimbursements	$353,156	$376,068	$395,608	$42,452	12.0%	$10,410.74
5150 Percentage Rent	$166,130	$175,261	$182,436	$16,306	9.8%	$4,800.94
5160 Misc. Income	$389,898	$366,655	$374,503	-$15,395	-3.9%	$9,855.34
5170 Payroll - Management	$376,026	$373,210	$383,242	$7,216	1.9%	$10,085.31
5180 Payroll - Leasing	$540,205	$542,420	$545,840	$5,635	1.0%	$14,364.20
5190 Payroll - Maintenance	$238,477	$248,046	$263,772	$25,295	10.6%	$6,941.37
5200 Payroll Taxes & Benefits	$105,219	$100,721	$106,656	$1,437	1.4%	$2,806.74
5210 Repairs - Plumbing	$333,804	$329,277	$329,921	-$3,883	-1.2%	$8,682.14
5220 Repairs - HVAC	$253,515	$241,776	$257,240	$3,725	1.5%	$6,769.47
5230 Repairs - Electrical	$613,078	$600,075	$623,696	$10,618	1.7%	$16,413.05

Report generated 02/01/2024. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$58,276	$57,192	$58,304	$28	0.0%	$1,534.31
5430 Legal & Professional	$189,721	$197,963	$202,522	$12,801	6.7%	$5,329.52
5440 Accounting & Audit	$135,574	$145,397	$146,561	$10,987	8.1%	$3,856.87
5450 Licenses & Permits	$91,986	$86,231	$92,210	$224	0.2%	$2,426.58
5460 Management Fee	$711,300	$680,375	$703,107	-$8,194	-1.2%	$18,502.81
5470 Property Insurance	$452,557	$446,406	$474,390	$21,833	4.8%	$12,483.96
5480 Real Estate Taxes	$596,580	$615,873	$653,925	$57,345	9.6%	$17,208.55
5490 Asset Management Fee	$275,112	$264,420	$268,546	-$6,566	-2.4%	$7,067.00
5500 Replacement Reserves	$309,137	$285,105	$296,812	-$12,325	-4.0%	$7,810.85
5510 Roof Repairs	$651,271	$656,009	$680,973	$29,702	4.6%	$17,920.33
5520 Parking Lot Repairs	$363,596	$341,665	$344,259	-$19,336	-5.3%	$9,059.46
5530 Signage	$696,881	$725,428	$746,253	$49,373	7.1%	$19,638.24
5540 Tenant Improvements	$344,900	$359,347	$380,548	$35,648	10.3%	$10,014.42
5550 Leasing Commissions	$498,361	$488,508	$502,076	$3,715	0.7%	$13,212.52
5000 Gross Potential Rent	$492,241	$520,223	$551,015	$58,774	11.9%	$14,500.40
5010 Loss to Lease	$189,895	$189,387	$191,306	$1,411	0.7%	$5,034.36
5020 Vacancy Loss	$121,305	$120,776	$125,428	$4,123	3.4%	$3,300.73
5030 Concessions	$388,158	$418,167	$430,529	$42,370	10.9%	$11,329.70
5040 Bad Debt	$173,685	$164,084	$164,227	-$9,459	-5.4%	$4,321.76
5050 Late Fees	$506,002	$468,534	$496,977	-$9,025	-1.8%	$13,078.34
5060 Utility Reimbursements	$661,505	$708,880	$727,643	$66,138	10.0%	$19,148.49
5070 Parking Income	$516,163	$552,430	$561,283	$45,120	8.7%	$14,770.61
5080 Application Fees	$652,823	$622,527	$655,885	$3,062	0.5%	$17,260.13
5090 Pet Rent	$662,581	$654,505	$671,411	$8,829	1.3%	$17,668.70
5100 Laundry Income	$240,708	$231,281	$247,223	$6,516	2.7%	$6,505.88
5110 Cable/Internet Revenue	$262,825	$278,342	$297,717	$34,892	13.3%	$7,834.66
5120 CAM Reimbursements	$125,161	$131,039	$137,360	$12,200	9.7%	$3,614.74
5130 Tax Reimbursements	$140,100	$131,827	$136,974	-$3,126	-2.2%	$3,604.58
5140 Insurance Reimbursements	$414,103	$439,246	$469,852	$55,749	13.5%	$12,364.54
5150 Percentage Rent	$275,109	$257,624	$258,802	-$16,307	-5.9%	$6,810.59
5160 Misc. Income	$482,791	$501,951	$506,147	$23,355	4.8%	$13,319.65
5170 Payroll - Management	$467,596	$491,858	$514,061	$46,464	9.9%	$13,527.92
5180 Payroll - Leasing	$681,246	$650,983	$686,069	$4,822	0.7%	$18,054.45
5190 Payroll - Maintenance	$105,974	$112,290	$116,113	$10,139	9.6%	$3,055.60
5200 Payroll Taxes & Benefits	$458,604	$457,385	$464,981	$6,377	1.4%	$12,236.35
5210 Repairs - Plumbing	$308,686	$310,933	$315,196	$6,511	2.1%	$8,294.64
5220 Repairs - HVAC	$43,224	$44,736	$45,534	$2,311	5.3%	$1,198.27
5230 Repairs - Electrical	$421,796	$452,830	$484,170	$62,373	14.8%	$12,741.30
5240 Repairs - Appliances	$176,598	$178,138	$178,610	$2,012	1.1%	$4,700.26
5250 Painting & Decorating	$317,660	$334,135	$334,589	$16,929	5.3%	$8,804.98
5260 Flooring	$227,745	$214,556	$221,016	-$6,729	-3.0%	$5,816.21
5270 Make-Ready / Turnover	$710,469	$665,313	$698,968	-$11,501	-1.6%	$18,393.89

Report generated 02/01/2024. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Valuation Discussion

Operating expenses totaled $342,000 or approximately 9.26 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $371,000, representing a 2.2% increase over the prior year. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 5.40x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.98% reflects the in-place income and the stabilized occupancy assumption.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.53% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Average rent is $18 per square foot with parking at a ratio of 2 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period.

Property Operations

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. Service requests are tracked through a work-order system with an average completion time of 15 hours. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.8% of billed charges, with bad debt of 6.2% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 45 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 29 additional team members. Average rent is $18 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.73x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. Operating expenses totaled $415,000 or approximately 18.27 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.72% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.46x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $140,000, representing a 4.1% increase over the prior year. Average rent is $18 per square foot with parking at a ratio of 20 spaces per 1,000 square feet.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 45 hours. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $18 per square foot with parking at a ratio of 37 spaces per 1,000 square feet.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Collections for the period were 92.3% of billed charges, with bad debt of 4.7% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 40 hours. Average rent is $18 per square foot with parking at a ratio of 43 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Valuation Discussion

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5300 Janitorial	$354,190	$363,737	$367,832	$13,642	3.9%	$9,679.79
5310 Pest Control	$449,391	$414,445	$434,347	-$15,044	-3.3%	$11,430.18
5320 Trash Removal	$515,220	$495,156	$529,507	$14,287	2.8%	$13,934.40
5330 Elevator Contract	$564,821	$591,587	$617,803	$52,982	9.4%	$16,257.97
5340 Fire & Life Safety	$36,838	$38,213	$40,637	$3,799	10.3%	$1,069.39
5350 Security	$630,550	$598,078	$613,389	-$17,160	-2.7%	$16,141.82
5360 Electricity - Common	$606,784	$628,814	$672,490	$65,706	10.8%	$17,697.10
5370 Gas - Common	$541,928	$513,138	$519,032	-$22,896	-4.2%	$13,658.74
5380 Water & Sewer	$164,600	$164,746	$175,788	$11,188	6.8%	$4,626.00
5390 Telephone/Internet	$517,530	$510,503	$526,788	$9,258	1.8%	$13,862.85
5400 Advertising	$711,838	$727,151	$734,781	$22,943	3.2%	$19,336.34
5410 Resident Events	$163,051	$160,729	$161,755	-$1,296	-0.8%	$4,256.72
5420 Office Supplies	$633,837	$664,320	$686,350	$52,513	8.3%	$18,061.85
5430 Legal & Professional	$612,562	$623,236	$628,937	$16,374	2.7%	$16,550.97
5440 Accounting & Audit	$651,914	$688,657	$700,871	$48,957	7.5%	$18,443.98
5450 Licenses & Permits	$287,111	$287,598	$292,940	$5,829	2.0%	$7,708.94
5460 Management Fee	$93,075	$86,838	$88,759	-$4,316	-4.6%	$2,335.77
5470 Property Insurance	$421,474	$438,809	$449,708	$28,235	6.7%	$11,834.43
5480 Real Estate Taxes	$54,671	$53,495	$56,078	$1,407	2.6%	$1,475.74
5490 Asset Management Fee	$378,445	$376,460	$399,067	$20,622	5.4%	$10,501.77
5500 Replacement Reserves	$708,586	$721,472	$748,248	$39,662	5.6%	$19,690.72
5510 Roof Repairs	$606,186	$651,373	$677,801	$71,615	11.8%	$17,836.87
5520 Parking Lot Repairs	$708,047	$688,760	$694,799	-$13,248	-1.9%	$18,284.19
5530 Signage	$153,842	$161,092	$170,010	$16,168	10.5%	$4,473.95
5540 Tenant Improvements	$45,484	$42,576	$45,111	-$373	-0.8%	$1,187.12
5550 Leasing Commissions	$74,258	$75,368	$78,415	$4,157	5.6%	$2,063.55
5000 Gross Potential Rent	$388,859	$389,225	$400,998	$12,139	3.1%	$10,552.58
5010 Loss to Lease	$395,194	$413,749	$434,372	$39,177	9.9%	$11,430.83
5020 Vacancy Loss	$304,069	$325,949	$342,304	$38,235	12.6%	$9,008.01
5030 Concessions	$201,846	$215,132	$226,777	$24,931	12.4%	$5,967.80
5040 Bad Debt	$361,139	$361,090	$378,811	$17,672	4.9%	$9,968.72
5050 Late Fees	$105,443	$113,585	$113,686	$8,244	7.8%	$2,991.74
5060 Utility Reimbursements	$679,034	$672,193	$696,981	$17,948	2.6%	$18,341.61
5070 Parking Income	$403,080	$433,223	$452,353	$49,273	12.2%	$11,904.03
5080 Application Fees	$614,748	$614,431	$653,848	$39,100	6.4%	$17,206.51
5090 Pet Rent	$176,862	$179,502	$189,088	$12,226	6.9%	$4,976.01
5100 Laundry Income	$255,271	$235,940	$241,815	-$13,455	-5.3%	$6,363.56
5110 Cable/Internet Revenue	$372,992	$354,332	$367,757	-$5,236	-1.4%	$9,677.81
5120 CAM Reimbursements	$86,611	$90,869	$97,037	$10,426	12.0%	$2,553.60
5130 Tax Reimbursements	$389,511	$398,675	$420,843	$31,331	8.0%	$11,074.81
5140 Insurance Reimbursements	$511,060	$506,097	$510,326	-$735	-0.1%	$13,429.62
5150 Percentage Rent	$695,106	$647,999	$661,366	-$33,739	-4.9%	$17,404.38
5160 Misc. Income	$47,674	$50,958	$54,195	$6,521	13.7%	$1,426.19

Report generated 02/01/2024. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Effective gross income for the trailing period was $79,000, representing a 9.0% increase over the prior year. The going-in capitalization rate of 5.34% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Operating expenses totaled $46,000 or approximately 46.67 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $201,000, representing a 3.5% increase over the prior year. Average rent is $18 per square foot with parking at a ratio of 13 spaces per 1,000 square feet. The going-in capitalization rate of 6.82% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Collections for the period were 91.3% of billed charges, with bad debt of 4.1% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 38 hours.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 40th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Effective gross income for the trailing period was $148,000, representing a 10.9% increase over the prior year. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 8.19% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $343,000, representing a 12.1% increase over the prior year. Debt service coverage ratio was 5.83x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average rent is $18 per square foot with parking at a ratio of 12 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members. Collections for the period were 91.0% of billed charges, with bad debt of 4.2% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $18 per square foot with parking at a ratio of 19 spaces per 1,000 square feet.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 46 hours.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. The going-in capitalization rate of 7.46% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5140 Insurance Reimbursements	$508,790	$479,856	$486,695	-$22,095	-4.3%	$12,807.77
5150 Percentage Rent	$266,513	$251,139	$258,457	-$8,057	-3.0%	$6,801.49
5160 Misc. Income	$206,098	$200,162	$211,331	$5,233	2.5%	$5,561.35
5170 Payroll - Management	$618,380	$576,987	$612,413	-$5,967	-1.0%	$16,116.13
5180 Payroll - Leasing	$43,701	$43,289	$46,255	$2,554	5.8%	$1,217.23
5190 Payroll - Maintenance	$158,342	$167,070	$167,951	$9,609	6.1%	$4,419.77
5200 Payroll Taxes & Benefits	$324,996	$314,321	$335,292	$10,297	3.2%	$8,823.48
5210 Repairs - Plumbing	$154,556	$160,022	$165,612	$11,056	7.2%	$4,358.21
5220 Repairs - HVAC	$240,652	$237,391	$249,953	$9,301	3.9%	$6,577.71
5230 Repairs - Electrical	$687,301	$654,420	$683,109	-$4,192	-0.6%	$17,976.54
5240 Repairs - Appliances	$531,854	$548,377	$586,116	$54,262	10.2%	$15,424.11
5250 Painting & Decorating	$98,560	$100,527	$101,908	$3,349	3.4%	$2,681.80
5260 Flooring	$214,973	$218,282	$220,435	$5,462	2.5%	$5,800.92
5270 Make-Ready / Turnover	$318,677	$317,056	$331,142	$12,466	3.9%	$8,714.27
5280 Landscaping Contract	$537,460	$551,718	$571,139	$33,679	6.3%	$15,029.98
5290 Snow Removal	$328,008	$322,269	$329,774	$1,766	0.5%	$8,678.25
5300 Janitorial	$356,086	$380,717	$392,750	$36,664	10.3%	$10,335.52
5310 Pest Control	$336,241	$360,387	$383,347	$47,106	14.0%	$10,088.07
5320 Trash Removal	$627,517	$588,869	$625,195	-$2,322	-0.4%	$16,452.50
5330 Elevator Contract	$92,996	$93,238	$97,109	$4,113	4.4%	$2,555.49
5340 Fire & Life Safety	$142,405	$132,455	$134,659	-$7,746	-5.4%	$3,543.65
5350 Security	$163,523	$171,574	$172,979	$9,456	5.8%	$4,552.08
5360 Electricity - Common	$684,776	$686,741	$706,756	$21,980	3.2%	$18,598.84
5370 Gas - Common	$114,283	$114,922	$120,695	$6,412	5.6%	$3,176.18
5380 Water & Sewer	$234,124	$247,725	$255,116	$20,992	9.0%	$6,713.57
5390 Telephone/Internet	$159,182	$169,793	$176,337	$17,155	10.8%	$4,640.45
5400 Advertising	$658,588	$674,317	$682,072	$23,485	3.6%	$17,949.27
5410 Resident Events	$188,832	$203,218	$210,825	$21,993	11.6%	$5,548.04
5420 Office Supplies	$642,832	$646,683	$672,984	$30,151	4.7%	$17,710.10
5430 Legal & Professional	$558,078	$548,091	$551,874	-$6,204	-1.1%	$14,523.00
5440 Accounting & Audit	$514,637	$485,647	$493,544	-$21,094	-4.1%	$12,987.99
5450 Licenses & Permits	$276,791	$272,444	$275,953	-$837	-0.3%	$7,261.93
5460 Management Fee	$625,733	$668,624	$702,159	$76,426	12.2%	$18,477.87
5470 Property Insurance	$708,631	$746,332	$774,598	$65,967	9.3%	$20,384.15
5480 Real Estate Taxes	$69,941	$71,448	$72,812	$2,871	4.1%	$1,916.11
5490 Asset Management Fee	$691,498	$724,164	$771,763	$80,265	11.6%	$20,309.54
5500 Replacement Reserves	$604,259	$615,700	$625,241	$20,982	3.5%	$16,453.70
5510 Roof Repairs	$347,840	$322,994	$345,455	-$2,385	-0.7%	$9,090.91
5520 Parking Lot Repairs	$572,811	$573,367	$595,855	$23,044	4.0%	$15,680.40
5530 Signage	$677,293	$657,559	$660,227	-$17,066	-2.5%	$17,374.40
5540 Tenant Improvements	$290,598	$312,577	$333,729	$43,131	14.8%	$8,782.35
5550 Leasing Commissions	$460,379	$457,115	$473,919	$13,540	2.9%	$12,471.54

Report generated 02/01/2024. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Debt service coverage ratio was 7.65x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.72% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $228,000 or approximately 43.67 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $220,000, representing a 13.9% increase over the prior year.

Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. Effective gross income for the trailing period was $244,000, representing a 13.6% increase over the prior year. Debt service coverage ratio was 7.44x on a trailing basis against a covenant minimum of 1.20x. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Leasing and Marketing

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. Average rent is $18 per square foot with parking at a ratio of 26 spaces per 1,000 square feet.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $18 per square foot with parking at a ratio of 12 spaces per 1,000 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Financial Analysis

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 8.19x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.37% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Debt service coverage ratio was 7.27x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $374,000, representing a 2.6% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.59% reflects the in-place income and the stabilized occupancy assumption. Average rent is $18 per square foot with parking at a ratio of 42 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Leasing and Marketing

Collections for the period were 90.2% of billed charges, with bad debt of 7.5% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 8 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members.

Collections for the period were 92.3% of billed charges, with bad debt of 3.8% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Income and Expense Review

The going-in capitalization rate of 7.96% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.95x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average rent is $18 per square foot with parking at a ratio of 8 spaces per 1,000 square feet.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5480 Real Estate Taxes	$621,940	$639,929	$659,201	$37,260	6.0%	$17,347.38
5490 Asset Management Fee	$288,347	$307,337	$316,469	$28,122	9.8%	$8,328.14
5500 Replacement Reserves	$501,008	$481,068	$508,197	$7,190	1.4%	$13,373.61
5510 Roof Repairs	$480,357	$480,503	$507,878	$27,521	5.7%	$13,365.22
5520 Parking Lot Repairs	$95,750	$94,444	$98,600	$2,850	3.0%	$2,594.74
5530 Signage	$107,037	$109,273	$110,749	$3,712	3.5%	$2,914.45
5540 Tenant Improvements	$197,192	$206,689	$211,919	$14,727	7.5%	$5,576.82
5550 Leasing Commissions	$66,290	$65,220	$65,918	-$372	-0.6%	$1,734.67
5000 Gross Potential Rent	$318,769	$306,510	$311,059	-$7,710	-2.4%	$8,185.77
5010 Loss to Lease	$112,955	$104,254	$111,141	-$1,814	-1.6%	$2,924.76
5020 Vacancy Loss	$71,762	$66,831	$68,676	-$3,085	-4.3%	$1,807.27
5030 Concessions	$232,188	$240,903	$245,548	$13,360	5.8%	$6,461.78
5040 Bad Debt	$371,370	$354,614	$366,705	-$4,665	-1.3%	$9,650.12
5050 Late Fees	$55,712	$52,701	$55,559	-$153	-0.3%	$1,462.09
5060 Utility Reimbursements	$239,396	$255,480	$267,867	$28,471	11.9%	$7,049.13
5070 Parking Income	$488,770	$468,764	$478,327	-$10,443	-2.1%	$12,587.55
5080 Application Fees	$329,252	$309,496	$321,282	-$7,970	-2.4%	$8,454.78
5090 Pet Rent	$235,737	$246,370	$255,208	$19,471	8.3%	$6,716.00
5100 Laundry Income	$537,874	$526,739	$539,284	$1,410	0.3%	$14,191.68
5110 Cable/Internet Revenue	$551,749	$586,757	$609,837	$58,087	10.5%	$16,048.33
5120 CAM Reimbursements	$476,099	$444,521	$462,458	-$13,641	-2.9%	$12,169.96
5130 Tax Reimbursements	$165,418	$171,207	$182,159	$16,742	10.1%	$4,793.67
5140 Insurance Reimbursements	$430,519	$432,977	$458,010	$27,491	6.4%	$12,052.90
5150 Percentage Rent	$609,748	$583,739	$611,044	$1,295	0.2%	$16,080.09
5160 Misc. Income	$404,280	$431,030	$459,155	$54,875	13.6%	$12,083.02
5170 Payroll - Management	$234,797	$231,761	$238,743	$3,946	1.7%	$6,282.72
5180 Payroll - Leasing	$412,192	$403,933	$423,608	$11,416	2.8%	$11,147.59
5190 Payroll - Maintenance	$523,417	$497,105	$518,437	-$4,980	-1.0%	$13,643.08
5200 Payroll Taxes & Benefits	$185,054	$194,476	$207,228	$22,174	12.0%	$5,453.37
5210 Repairs - Plumbing	$525,755	$520,119	$536,444	$10,688	2.0%	$14,116.94
5220 Repairs - HVAC	$393,463	$393,623	$420,322	$26,858	6.8%	$11,061.09
5230 Repairs - Electrical	$391,427	$370,574	$373,381	-$18,046	-4.6%	$9,825.81
5240 Repairs - Appliances	$532,013	$507,372	$535,373	$3,360	0.6%	$14,088.76
5250 Painting & Decorating	$426,915	$422,479	$434,874	$7,959	1.9%	$11,444.05
5260 Flooring	$436,647	$463,821	$465,611	$28,964	6.6%	$12,252.92
5270 Make-Ready / Turnover	$320,943	$340,268	$343,990	$23,047	7.2%	$9,052.38
5280 Landscaping Contract	$450,989	$422,551	$434,731	-$16,258	-3.6%	$11,440.30
5290 Snow Removal	$635,900	$650,019	$650,945	$15,045	2.4%	$17,130.13
5300 Janitorial	$524,615	$488,051	$492,499	-$32,116	-6.1%	$12,960.50
5310 Pest Control	$653,992	$663,183	$685,875	$31,883	4.9%	$18,049.34

Report generated 02/01/2024. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Financial Analysis

The going-in capitalization rate of 7.86% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Effective gross income for the trailing period was $15,000, representing a 10.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 5.47% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $18 per square foot with parking at a ratio of 15 spaces per 1,000 square feet. Effective gross income for the trailing period was $400,000, representing a 12.2% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Collections for the period were 90.3% of billed charges, with bad debt of 4.6% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Service requests are tracked through a work-order system with an average completion time of 46 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Income and Expense Review

Average rent is $18 per square foot with parking at a ratio of 17 spaces per 1,000 square feet. Operating expenses totaled $372,000 or approximately 18.07 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.68x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.52% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses.

Average rent is $18 per square foot with parking at a ratio of 25 spaces per 1,000 square feet. Management fees are calculated at 6.0% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.77x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $211,000, representing a 6.7% increase over the prior year.

Management Commentary

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $18 per square foot with parking at a ratio of 23 spaces per 1,000 square feet. Collections for the period were 89.5% of billed charges, with bad debt of 6.5% of gross potential income.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 91.8% of billed charges, with bad debt of 3.7% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 39 hours.

Financial Analysis

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$377,997	$349,264	$357,258	-$20,739	-5.5%	$9,401.52
5430 Legal & Professional	$590,520	$570,329	$576,224	-$14,296	-2.4%	$15,163.79
5440 Accounting & Audit	$187,422	$175,662	$182,381	-$5,041	-2.7%	$4,799.50
5450 Licenses & Permits	$234,925	$250,140	$263,908	$28,983	12.3%	$6,944.95
5460 Management Fee	$91,648	$97,257	$99,528	$7,880	8.6%	$2,619.15
5470 Property Insurance	$186,159	$179,308	$186,589	$430	0.2%	$4,910.24
5480 Real Estate Taxes	$187,248	$189,644	$202,862	$15,614	8.3%	$5,338.47
5490 Asset Management Fee	$611,950	$580,669	$603,731	-$8,219	-1.3%	$15,887.67
5500 Replacement Reserves	$615,149	$597,945	$613,868	-$1,282	-0.2%	$16,154.41
5510 Roof Repairs	$275,881	$275,728	$290,182	$14,302	5.2%	$7,636.38
5520 Parking Lot Repairs	$491,685	$485,648	$514,583	$22,899	4.7%	$13,541.67
5530 Signage	$233,994	$241,233	$247,909	$13,915	5.9%	$6,523.92
5540 Tenant Improvements	$38,019	$37,436	$40,050	$2,032	5.3%	$1,053.96
5550 Leasing Commissions	$519,729	$503,097	$505,670	-$14,059	-2.7%	$13,307.10
5000 Gross Potential Rent	$224,431	$239,825	$244,584	$20,153	9.0%	$6,436.41
5010 Loss to Lease	$83,122	$79,561	$82,884	-$237	-0.3%	$2,181.16
5020 Vacancy Loss	$274,354	$257,364	$272,263	-$2,091	-0.8%	$7,164.81
5030 Concessions	$120,980	$128,311	$130,552	$9,572	7.9%	$3,435.57
5040 Bad Debt	$421,200	$423,026	$444,434	$23,235	5.5%	$11,695.64
5050 Late Fees	$428,198	$452,869	$478,018	$49,820	11.6%	$12,579.42
5060 Utility Reimbursements	$150,145	$142,172	$151,795	$1,649	1.1%	$3,994.60
5070 Parking Income	$91,396	$85,467	$85,502	-$5,894	-6.4%	$2,250.04
5080 Application Fees	$566,252	$543,195	$572,528	$6,276	1.1%	$15,066.53
5090 Pet Rent	$418,266	$434,154	$452,895	$34,628	8.3%	$11,918.28
5100 Laundry Income	$213,892	$223,219	$226,583	$12,691	5.9%	$5,962.70
5110 Cable/Internet Revenue	$276,096	$261,461	$262,704	-$13,392	-4.9%	$6,913.25
5120 CAM Reimbursements	$279,662	$268,377	$273,304	-$6,358	-2.3%	$7,192.21
5130 Tax Reimbursements	$538,992	$575,989	$593,215	$54,223	10.1%	$15,610.93
5140 Insurance Reimbursements	$337,706	$355,874	$379,201	$41,495	12.3%	$9,978.97
5150 Percentage Rent	$243,042	$245,900	$250,003	$6,961	2.9%	$6,579.03
5160 Misc. Income	$453,778	$440,491	$467,375	$13,596	3.0%	$12,299.34
5170 Payroll - Management	$695,392	$686,062	$729,017	$33,625	4.8%	$19,184.67
5180 Payroll - Leasing	$575,632	$547,507	$570,186	-$5,446	-0.9%	$15,004.89
5190 Payroll - Maintenance	$262,193	$254,459	$271,114	$8,921	3.4%	$7,134.57
5200 Payroll Taxes & Benefits	$405,407	$428,348	$448,025	$42,617	10.5%	$11,790.12
5210 Repairs - Plumbing	$671,968	$636,278	$656,174	-$15,794	-2.4%	$17,267.74
5220 Repairs - HVAC	$221,520	$216,097	$222,415	$895	0.4%	$5,853.04
5230 Repairs - Electrical	$606,872	$560,448	$579,287	-$27,585	-4.5%	$15,244.39
5240 Repairs - Appliances	$583,111	$563,630	$574,943	-$8,168	-1.4%	$15,130.07
5250 Painting & Decorating	$228,871	$228,890	$231,258	$2,387	1.0%	$6,085.75
5260 Flooring	$410,071	$386,099	$412,199	$2,128	0.5%	$10,847.34
5270 Make-Ready / Turnover	$71,932	$74,406	$75,309	$3,377	4.7%	$1,981.82

Report generated 02/01/2024. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Summary and Notes

Income and Expense Review

Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.37% reflects the in-place income and the stabilized occupancy assumption. Average rent is $18 per square foot with parking at a ratio of 27 spaces per 1,000 square feet. Operating expenses totaled $444,000 or approximately 42.86 per square foot, with real estate taxes representing the largest line item.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 6.40x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $18 per square foot with parking at a ratio of 13 spaces per 1,000 square feet. Effective gross income for the trailing period was $230,000, representing a 10.9% increase over the prior year.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 6 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Collections for the period were 95.3% of billed charges, with bad debt of 5.1% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 25 hours.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only